

UNITED KINGDOM 2013

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1. Overview of the tax-benefit system

Within the United Kingdom, Jobseeker's Allowance is the main benefit for those out of work. Jobseeker's Allowance is made up of two parts, a contributory benefit based on insurance contribution payment and an income-based part which is not based on insurance payment. Employment and Support Allowance replaced Incapacity Benefit and Income Support for new claims from 27 October 2008. There is also Income Support, a general means-tested benefit for those with low income who are unable to work. In addition there are a number of specific means-tested benefits: Council Tax Benefit (a help towards local tax), Housing Benefit, the Working Tax Credit which is an in-work benefit, and for people with children Child Tax Credit (CTC). There is also a universal Child Benefit for people with children. The direct tax system consists of a central government income tax and a council tax; the tax unit for income tax is the individual. Council tax is levied on dwellings.

In the 2013 model, eligibility for Universal Credit is not yet assumed or modelled.

1.1. Average Worker wage (AW)

In 2013, the Average Worker is estimated to earn GBP 35 548 (Secretariat estimate).

2. Unemployment insurance

2.1 Conditions for receipt

Jobseeker's Allowance (JSA) can be paid to claimants who are unemployed and looking for full-time work. JSA is available for men and women aged 18 or older but below State Pension Age. There are some exceptions for individuals aged 16 and 17. They must have entered into a Jobseeker's Agreement and must be capable of, available for and actively seeking work as an employee or as self-employed. For more information please see:

<https://www.gov.uk/jobseekers-allowance/eligibility>

There are two main types of JSA. JSA (contribution-based) is paid to those who satisfy the national insurance contribution conditions. JSA (income-based) is paid to those whose, including their partner's, income and capital is below a certain amount.(section 3).

To qualify for JSA, jobseekers must be available for work - available is taken as meaning that they must be willing and able to take up work immediately. There are some exceptions to the requirement to be able to take up work immediately e.g. carers, volunteers and persons providing a service.

In some situations jobseekers can restrict their availability. However, they must have reasonable prospects of getting work unless the restrictions are reasonable in view of their physical or mental condition, or if they are a Lone Parent who restricted their availability to that of their child's normal school hours.

Jobseekers must also be actively seeking work. To be actively seeking work jobseekers must take, in each benefit week, such steps as they can reasonably be expected to take in order to have the best prospects of securing employment..

Employment related sanctions

A jobseeker's JSA may be sanctioned if they:

- lose a job because of misconduct; or
- leave a job voluntarily without good reason; or
- refuse or fail to carry out a jobseeker's direction without good reason; or
- fail to apply for or accept a job without good reason; or
- neglect to avail themselves of a job without good reason.
- fail to attend an interview

Training scheme and employment programme-related sanctions

If attendance on a training scheme or employment programme is compulsory, jobseekers can be sanctioned if they:

- lose their place because of misconduct; or
- give up or fail to attend the scheme or programme without good reason; or

- are notified of a place on a scheme or programme and fail to apply for or accept it when offered to them without good reason; or
- fail to participate or undertake any activity mandated by the scheme provider; or
- neglect to avail themselves of a reasonable opportunity of a place without good reason.

If JSA is sanctioned:

- the length of time for which it is sanctioned is fixed up to a maximum of 3 years depending on the reason for the sanction and the number of previous sanctions of the same level. During the sanction period JSA is usually not paid or is paid at a reduced rate;
- special rules apply for 16 or 17 year olds;
- if a jobseeker disagrees that they should be sanctioned, or with the sanction period, they can challenge the decision;
- jobseekers may be able to get hardship payments.

2.1.1 *Employment conditions*

Recipients of JSA (contribution-based) must be out of work or working less than 16 hours a week.

2.1.2 *Contribution conditions*

JSA (contribution-based) is a personal benefit paid to unemployed people who have paid sufficient National Insurance contributions in the last two full tax years before the benefit year in which they make their JSA claim.

Sufficient means:

- contributions paid in one of the 2 tax years on which the claim is based amounting to at least 26 times the minimum weekly contribution for that year [earnings above the minimum are disregarded, effectively meaning that the person will have to have been employed for at least 26 weeks – though not necessarily continuously]; and
- contributions paid or credited in both the appropriate tax years amounting to a total of at least 50 times the minimum contribution for that year.

Payment of Class 1and, in some circumstances, Class 2 National Insurance contributions gives rise to an ‘earnings factor’ which is used to calculate entitlement to contributory benefits. For Class 1 contributions the earnings factor is the amount of earnings, excluding those above the upper earnings limit (UEL) upon which contributions have been paid. The minimum rate at which an individual is deemed to have made a contribution is the lower earnings limit (LEL) 107 GBP in 2012/3. For claims dated on or after 1 November 2010 earnings above the LEL are disregarded when determining the first contribution condition.

2.2 Calculation of benefit amount

2.2.1 Calculation of gross benefit

JSA contribution-based is payable on a weekly basis at the rate of GBP 71.70 for a single person aged 25 and over or GBP 56.80 per week for those aged 16-24. This is a personal benefit and does not include an amount for partners or children (support for the latter is through the tax credits system – see section 8).

2.2.2 Income and earnings disregards for benefit recipients and those starting a new job

JSA contribution-based may be reduced penny for penny in respect of earnings over certain limits - normally GBP 5 a week, but GBP 20 for some special occupations). The benefit is also reduced on account of occupational or personal pensions of more than 50 GBP per week gross.

2.3 Tax treatment of benefit and interaction with other benefits

JSA contribution-based is taxable.

2.4 Benefit duration and waiting periods

Jobseeker's Allowance is payable for as long as a jobseeker meets the conditions of entitlement, except for the first 3 days of benefit in a new award which are known as 'waiting days'. JSA claimants are exempt from waiting days in certain cases, for example, if the claim is made within 12 weeks of the end of a previous award,'.

JSA contribution-based is payable for up to 182 days in any one jobseeking period, which may be more than one award of JSA provided the break in entitlement is less than 12 weeks. The entitlement to 182 days of JSA contribution-based once exhausted cannot be re-used for a subsequent claim that relies on contributions made in the same two tax years.

Once the period of contribution-based JSA has been exhausted a jobseeker may continue to receive income-based JSA (section 3), providing they continue to meet the conditions of entitlement and their income and capital is low enough.

2.5 Treatment of particular groups

2.5.1 Young persons

People aged 16 or 17 are eligible to claim JSA (Contribution based) but are unlikely to have paid enough contributions to qualify. They may be able to claim JSA (income-based).

3. Unemployment assistance

3.1 Conditions for receipt

This section covers JSA (income-based) - see section 2.1 for the main entitlement conditions.

3.1.1 Employment conditions

Recipients must be out of work or working less than 16 hours a week on average. Their partners must be out of work or working less than 24 hours per week on average.

3.2 Calculation of benefit amount

3.2.1 Calculation of gross benefit

Income-based Jobseeker's Allowance is assessed at the difference between the claimant's "applicable amount" and income. There are capital limits – broadly capital over GBP 6000 affects the amount of benefit paid, and benefit is not paid to people with capital over GBP 16000. The applicable amount consists of personal allowances and specified premiums (these allowances and premiums are the same for income-based Jobseeker's allowance (JSA[IB]), income support (IS), housing benefit (HB), and Council Tax Benefit (CTB) (see table).

Family type	Rates of applicable amount (in GBP per week)
Personal allowance	
Single	
16-24	56.80
25 and over	71.70
Lone parent	
16-17	56.80
18 or over	71.70
Couple (both 18 or over)	112.55

There are further premiums for other specific circumstances, *e.g.* disabilities and caring responsibilities.

3.2.1.1 Irregular additional payments

None

3.2.1.2 Obligations of family members

Members of a couple where at least one of the couple is aged 18 or over; and, neither member of the couple is responsible for a child or young person, are required to make joint claims to income-based JSA. Both members of the joint claim are required to satisfy the conditions for receipt of JSA unless one member fits into an exempt group. In certain circumstances a member of a couple may still be able to receive JSA even if their partner has not made a joint claim with them.

3.2.2 *Income and earnings disregards for benefit recipients and those starting a new job*

JSA (income-based) is reduced by capital over GBP6000 – a tariff income is assumed at a rate of £1 for every £250, or part £250, by which capital exceeds GBP6000. No benefit is payable if capital exceeds GBP16000.

Weekly earnings disregards are GBP 5 for a single person; GBP 10 for couples; and GBP 20 for certain special groups and occupations. Most other forms of income, including occupational pensions and most other social security benefits, reduce JSA on a penny-for-penny basis. However, some benefits, such as Housing Benefit, Child Tax Credit and Disability Living Allowance are fully disregarded.

3.3 ***Tax treatment of benefit and interaction with other benefits***

Income-based JSA is taxable up to certain limits. Payment of income-based JSA conveys entitlement to full Housing Benefit without the need for a separate means test.

3.4 ***Benefit duration and waiting periods***

Paid as long as the conditions are fulfilled, after a 3-day waiting period.

3.5 ***Treatment of particular groups***

3.5.1 *Young persons*

The minimum age for eligibility to income-based JSA is normally 18, but JSA can be paid to 16 and 17 year olds in special cases (for example, if they are estranged from parents), or under special hardship rules.

3.5.2 *Older workers*

Older people can continue to receive JSA until State Pension age.

4. Social assistance

The main out of work benefits are Jobseeker's Allowance, Employment and Support Allowance and Income Support (for those not required to be available for work). These benefits are designed to provide financial help to those whose net income falls below a set minimum level. In addition there are a number of other means-tested benefits/tax credits, as follows:

- Council Tax Benefit: help towards the tax raised by local authorities (see Section 5).
- Housing Benefit (see Section 5).
- Working Tax Credit and Child Tax Credit (see Section 8).
- Various benefits for the sick and disabled and the Social Fund which are outside the scope of this study.

4.1 *Conditions for receipt*

Income Support is a means-tested benefit payable to people of working age who are not expected to be available for work, for example, full-time carers and lone parents of children aged under 5. Persons with savings or capital above GBP 16000 are not eligible; the first GBP 6000 of savings are ignored and a weekly income is assumed from savings of between GBP 6000 and GBP 16 000. There are higher limits for people living in residential care or nursing homes.

4.1.1 *Employment conditions*

Income Support recipients must (with a few exceptions) be unemployed or working less than 16 hours per week (24 for partners).

4.1.2 *Contribution conditions*

None.

4.2 *Calculation of benefit amount*

4.2.1 *Calculation of gross benefit*

Family type	Rates of applicable amount (in GBP per week)
Personal allowance	
Single	
18-24	56.80
25 and over	71.70
Lone parent	
18 or over	71.70
Couple (both 18 or over)	112.55
Child	Nil ¹

1. For new applicants this support is provided through Child Tax Credit (see section 8). From April 2004, Customers making new claims to JSA or IS will not receive financial support for their children through JSA or IS.

There are further premiums for other specific circumstances, *e.g.* disabilities, caring responsibilities.

Income Support is the difference between the applicable amount and the claimant's income. The applicable amount consists of personal allowances, premiums and housing costs (see table).

The income consists of the net earnings and other income of the claimant and partner, subject to some disregards.

4.2.1.1 Irregular additional payments

Some recipients of Income Support, income-based Jobseeker's Allowance or income-related Employment and Support Allowance may be eligible for a Cold Weather Payment for each qualifying week when the average temperature where they live is recorded as, or forecast to be, zero degrees Celsius or below over seven consecutive days during the period from 1 November to 31 March. In 2010, the Cold Weather Payment was £25 for each qualifying week.

4.2.1.2 Obligations of family members

None.

4.2.2 Income and earnings disregards for benefit recipients

Weekly earnings disregards are GBP 5 for a single person, GBP 10 for couples and GBP 20 for certain other groups, such as lone parents and disabled people, and certain special occupations. Income other than earnings, including most other social security benefits, are normally taken fully into account and reduce benefit penny for penny. However, some benefits, such as Housing Benefit, Child Tax Credit and Disability Living Allowance are fully disregarded.

4.3 Tax treatment of benefit and interaction with other benefits

Income Support is not taxable. Payment of Income Support conveys entitlement to full Housing Benefit without the need for a separate means test.

4.4 Benefit duration and waiting periods

Paid as long as the conditions are fulfilled.

4.5 Treatment of particular group

4.5.1 Young persons

Income Support is paid to young people aged 16 or over if they meet the necessary conditions.

4.5.2 *Older worker, carers, disabled/sick people*

Since October 2003 people over the State Pension Credit qualifying age must claim State Pension Credit rather than Income Support. The Pension Credit combines an Income Guarantee with a Savings Credit payable to those 65+ to reward those who have saved. There are also additional premiums for disabled people and carers.

4.5.3 *Others if applicable*

5. Housing benefits for rented accommodation

Housing Benefit is a means-tested benefit, which provides help with paying the rent for private or public housing for people on low income.

5.1 Conditions for receipt

Persons with capital above GBP 16 000 are not eligible. The first GBP 6 000 of capital is ignored. For capital between GBP 6 000 and GBP 16 000, a notional income is taken into account. However the lower capital limit for claimants who have reached the qualifying age State pension Credit is GBP 10,000.

5.2 Calculation of benefit amount

5.2.1 Calculation of gross benefit

For people not receiving Income Support, income-based Jobseeker's Allowance, or the guarantee element of State Pension Credit, Housing Benefit is the eligible rent minus 65 per cent of the difference between net resources and the applicable amount. For all other claimants, Housing Benefit is the full amount of eligible rent (but a deduction can be made in expectation of a contribution towards the rent should a non-dependent adult be in the household). If the Housing Benefit formula gives a value below 50 pence/week, no payment is made.

Eligible rent is the rent on which Housing Benefit is payable. Eligible rent may differ from the contractual rent for cases in the deregulated Private Rented Sector (and some Registered Social Landlord cases). This may happen if the contractual rent is deemed to be excessive (either for the property in question or relative to other rents in the area) or if the size of the property is excessive relative to the claimant's needs. The Rent Service makes these rent determinations.

The Local Housing Allowance (LHA), which is part of Housing Benefit rather than a separate benefit in its own right, commenced national roll-out on 7 April 2008. LHA applies to customers in the deregulated Private Rented Sector who make a new claim for Housing Benefit, or to existing customers who change address.

LHA is a way of calculating the rent element of Housing Benefit, based on the area in which a customer lives and household size.

LHA is paid (in most circumstances) to the tenant rather than to the landlord. Previously tenants were able to keep any excess benefit up to a maximum of GBP15 per week that was over and above their contractual rent. However regulations have removed the availability of the GBP 15 weekly excess since April 2011.

Under the LHA, the criteria used to determine the appropriate size of property for a household have been simplified and are based on the number of bedrooms, rather than bedrooms and living rooms up to a maximum of four bedrooms. This is to ensure they are easier to apply and understand, and better reflect the way in which properties are advertised in the private market.

Following reforms to Housing Benefit from 1 April 2011, LHA rates are set at the 30th percentile market rent in an area rather than at the median rate. This means that, typically, about three in ten properties in the private rented sector will be affordable to people in receipt of Housing Benefit. As part of the preparation for the Local Housing Allowance CPI uprating, Local Housing Allowance rates were frozen at the April 2012 rates and are no longer calculated each month.

The rate of LHA for which a claimant will qualify will depend on the number of occupiers and the area in which they live. The size criteria determine the appropriate number of rooms for which the occupiers qualify - for example, a single bedroom for a single person or a couple - rather than taking account of an individual's circumstances. From 6 April 2009, LHA rates were capped at the five-bedroom level for all new customers and those who move address. However, from April 2011, the five-bedroom LHA rate has been removed so that the maximum level is for a four bedroom property.

There will be situations where an individual's circumstances might require larger accommodation than the size criteria would allow, and they may consequently face a shortfall in their ability to meet their rent as a result. In such cases, the local authority has a discretionary power to consider the award of Discretionary Housing Payments which can address an individual's specific accommodation needs where necessary. As this is a discretionary scheme it is for the authority to decide what should be awarded in any particular case and how long the award should last; neither Ministers nor officials of DWP can interfere in this process.

For people not receiving Income Support, income-based Jobseeker's Allowance, income related Employment and Support Allowance or the guarantee element of State Pension Credit, Council Tax Benefit is the council tax liability minus 20 per cent of the difference between net resources and the applicable amount. For all other claimants, Council Tax Benefit is the full amount of the council tax liability (but a deduction can be made in expectation of a contribution towards the rent should a non-dependent adult be in the household).

There are two Family Premium rates for lone parents: GBP 22.20.

Dependent children rate, from birth day to 20th birthday, is GBP **65.62**.

5.2.2 *Income and earnings disregards*

Earnings Disregards are GBP 5 for a single person; GBP 10 for a couple; GBP 20 for some disabled and GBP 25 for a lone parent. Certain incomes other than earnings, paid for a special reason (*e.g.* to meet the cost of disability) may be disregarded in part or in full. Net income for calculation purposes are defined as gross earned income after tax and social security contributions, plus most other unemployment/social security benefits and Tax Credits, and other unearned income.

A housing benefit disregard for tax credits was introduced from the 2001-02 tax year (initially equivalent to the 30 hour premium in WFTC). Levels up to this year are as per the table below.

HB disregard for tax credits

2001-02	11.45
2002-03	11.75
2003-04	11.90
2004-05	12.32
2005-06	14.50
2006-07	14.90
2007-08	15.45
2008-09	16.05
2009-10	16.85
2010-2011	17.10
2011-2012	17.10

2012-2013 17.10

Note: Housing benefits are not considered for this income test.

5.2.3 *Costs eligible for housing benefits*

Example of LHA rates depending on the number of occupiers and the area in which they live (for 2011, see: <https://lha-direct.voa.gov.uk/search.aspx>):

Central London Broad Rental Market Area	30th percentile LHA rates (July 2013)
1 Bedroom	255.50
2 Bedrooms	296.38
3 Bedrooms	347.48
4 Bedrooms	408.80

Hull & East Riding Broad Rental Market Area	30th percentile LHA rates (July 2013)
1 Bedroom	69.23
2 Bedrooms	85.38
3 Bedrooms	103.85
4 Bedrooms	131.54

Maidstone Broad Rental Market Area	30th percentile LHA rates (July 2013)
1 Bedroom	121.15
2 Bedrooms	150.00
3 Bedrooms	176.89
4 Bedrooms	230.77

However, from April 2011:

- the five bedroom Local Housing Allowance rate has been removed so that the maximum level is for a four bedroom property
- absolute caps have been introduced so that Local Housing Allowance rates cannot exceed:
 - £255.50 for a one bedroom property,
 - £296.38 for a two bedroom property,
 - £347.48 for a three bedroom property,
 - £408.80 for a four bedroom property

5.3 *Tax treatment of benefit and interaction with other benefits*

Both non-taxable.

5.4 Treatment of particular groups

5.4.1 Young persons

For Housing Benefit, the same personal allowance of GBP 56.80 applies to a single person aged less than 25 or a lone parent aged less than 18, whilst the personal allowance for a couple with at least one aged over 18 is GBP 112.55.

5.4.2 Older workers

There are higher applicable amounts for those who have reached the qualifying age for state pension credit: the weekly rates are GBP 145.40 for a single person aged 60 or over but less than 65 and GBP 163.50 if aged 65 or over, and GBP 222.05 for a couple where at least one partner is aged 60 or over but less than 65 and GBP 244.95 where one or both partners are aged 65 or over. As for income support, there are also additional premiums for disabled people and carers.

5.4.3 Homeowners

Housing Benefit cannot be claimed by people who are homeowners. Help is provided towards mortgage interest payments (known as Support for Mortgage Interest) paid as part of Income Support, income-based Jobseeker's Allowance, income related Employment & Support Allowance and State Pension Credit.

Help is provided for loans taken out to purchase the property and specific loans for repairs and improvements to maintain the property as fit for habitation. Help is available towards certain other housing costs such as ground rent paid under a long tenancy and certain service charges.

Benefit help is given towards the interest on a mortgage/loan for repairs and improvements and is calculated using a standard interest rate (SIR). From December 2004, the SIR has been calculated using the Bank of England Base Rate plus 1.58%. Changes are implemented when the Bank of England amended its base rate. No help is provided towards arrears, endowment policies or capital repayments.

Help is provided from the outset of a claim for customers in receipt of State Pension Credit.

Waiting periods apply for those in receipt of Income Support, income-based Jobseeker's Allowance and income-related Employment & Support Allowance. Customers with a loan taken out prior to 2 October 1995 – receive no help for the first 8 weeks of their claim, 50% of eligible interest for a further 18 weeks and 100% of their eligible mortgage interest from week 27. A customer is deemed to have “existing housing costs” in this situation.

Customers with a mortgage taken out after 2 October 1995 receive no help for the first 39 weeks and 100% of their eligible mortgage interest from week 40.

Restrictions

Help with interest payments is limited to the interest on the outstanding capital of GBP100,000 (or £200,000 for new working age claims from 5 January 2009). The only

exception to the rule is where a home improvement loan is needed to make the existing property suitable for a disabled member of the household.

Generally no help can be provided where a loan has been taken out when a customer is in receipt of benefit. Help can only be provided when certain specific conditions are met.

Mortgage Interest Direct

The Mortgage Interest Direct (MID) Scheme was set up in 1992 following consultation with the Council of Mortgage Lenders. It was decided that payments of mortgage interest would be made direct to the lender to reduce the threat of repossession for those on income related benefits.

Customers who receive help towards their housing costs through Income Support, income-based Jobseeker's Allowance, income-related Employment & Support Allowance or Guarantee element of State Pension Credit normally have their mortgage interest element paid direct to their lender.

Customers in receipt of Savings Credit element only of State Pension Credit can opt to have their payments made direct.

Changes to the rules for Support for Mortgage Interest were made from January 2009.

As a response to the economic downturn, on 2 September 2008, the then Government announced a £1 billion package of measures to help vulnerable householders at risk of losing their property, first time buyers, and the house building industry. These included the Support for Mortgage Interest changes.

The SMI changes were brought forward from their original planned introduction date of April 2009 to 5 January 2009, to ensure that help reached people as soon as possible.

From 5 January 2009 regulations made the following changes to housing cost provisions in Income Support, income-based Jobseeker's Allowance and income-related Employment & Support Allowance customers.

- The capital limit for loans doubled to £200,000 for new working age customers in receipt of benefits listed above;
- The waiting period for new working age customers reduced from 26 or 39 weeks to 13 weeks from 5 January 2009;
- A 2 year time limit for SMI was introduced for income-based Jobseeker's Allowance (JSA) claims only;
- The Support for Mortgage Interest (SMI) changes also helped existing customers in receipt of a relevant benefit (Income Support, Jobseekers Allowance and Employment & Support Allowance) at 4 January who were in a waiting period for housing costs;
- A standard interest rate (SIR) is used to calculate allowable mortgage interest on all new and repeat claims. The SIR is set at a level equal to the Bank of England's published monthly average mortgage rate. The SIR will only change if the Bank of

Reference date for all information is **July 1st 2013**

Country chapter for OECD series *Benefits and Wages* (www.oecd.org/els/social/workincentives)

England's published average mortgage rate goes up or down by at least 0.5%. The current SIR is 3.63%

- The SMI changes are intended to help people over the potentially difficult labour market problems they face and help limit repossessions.

6. Family benefits

6.1 Conditions for receipt

Child benefit is paid in respect of each child in the family under 16, or 19 if still in full-time non-advanced education. An additional family benefit, the Child Tax Credit, is detailed in section 8.

6.2 Calculation of benefit amount

6.2.1 Calculation of gross benefit

It is payable at the weekly rate of GBP 20.30 for the eldest child for whom benefit is payable and GBP 13.40 per week in respect of each other child.

6.2.1.1 Irregular additional payments

6.2.2 Income and earnings disregards

Child Benefit is not subject to any means test. (But it is subject to a tax charge for those higher rate taxpayers earning in excess of GBP 50,000 from January 2013)

From January 2013, a new tax charge will be introduced for a taxpayer who has income over GBP 50 000 and either they or their partner are in receipt of Child Benefit. For those with income between GBP 50 000 and GBP 60 000, the amount of the charge will be 1% of the Child Benefit for every GBP 100 of income over GBP 50 000. For those with income over GBP 60 000, the amount of the charge will equal the amount of Child Benefit.

6.3 Tax treatment of benefit and interaction with other benefits

Not taxable. From 2 November 2009 Child Benefit income is wholly disregarded in Housing Benefit and Council Tax Benefit.

6.4 Treatment of particular groups

6.4.1 Young persons

Parents of 16 and 17 year olds who have just left school and who are registered for work or on youth training schemes are also eligible for Child Benefits, length of time eligible depends on the time of year left education.

6.4.2 Older workers

6.4.3 Others if applicable

7. Childcare for pre-school children

Information on the number of childcare places available is not collected centrally, however information on the number of part-time early education places filled is shown below (information relates to England only).

Children enter primary school from age five though many start in the reception class of primary school at age four.

Numbers of three and four year olds benefiting from some free early education

In January 2013, the number of three and four year olds in England benefiting from some funded early education was 1,283,500 or 96 per cent of the three and four year old population.

(Source: DfE Provision for Children Under Five Years of Age in England: January 2013 (Statistical First Release SFR 23/2013))

Eligibility for free early education places

All 3 and 4-year-olds in England are entitled to 15 hours of free early education each week for 38 weeks of the year. Some 2-year-olds are also eligible. Once a child is 3 years old parents can start claiming free early education from either; 1st September, 1st January, or 1st April. For example; if a child was born on 15th February 2012, then they will become eligible for free early education from 1st April 2015.

The free early education can be at; nursery schools, nurseries on school sites, nursery classes in schools and academies, children's centres, day nurseries, some playgroups and pre-school, childminders, and sure start children's centres.

Source (Free early education, gov.uk, <https://www.gov.uk/free-early-education>)

7.1 Out-of-pocket childcare fees paid by parents

There are no official statistics available on the average fees paid by parents for childcare.

The following figures are based on a survey conducted by the Daycare Trust (national UK charity) in 2013. The information is compiled from a survey of Family Information Services in Great Britain. The figures in the table below are based on 25 hours a week childcare in a nursery or with a childminder and 15 hours a week at an out of school club

	Nursery (under 2)	Nursery (2 and over)	Childminder (under 2)	Childminder (2 and over)	Out-of-school Club (15 hours)
England average (GBP)	108.51	106.52	98.98	97.27	49.71
Scotland average (GBP)	101.19	94.35	93.22	92.92	50.46
Wales average (GBP)	92.36	90.49	95.61	95.02	48.46
Britain Average	106.38	103.96	98.15	96.67	49.67

Source: Childcare Costs Survey 2013 (Daycare Trust, March 2013)

7.2 Child-care benefits

The childcare element of Working Tax Credit is payable for the cost of “registered” or “approved” childcare. It can help with up to 70% of a family’s childcare cost subject to a maximum cost of £175 per week for one child and £300 per week for two or more children. This means that the maximum a family can receive is £122.50 a week for one child and £210.00 for two or more children. But the actual amount payable will depend on the household income.

7.2.1 Conditions for receipt

7.2.2 Calculation of benefit amount

7.2.2.1 Calculation of gross benefit

7.2.2.2 Income and earnings disregards

7.2.3 Tax treatment of benefit and interaction with other benefits

7.2.4 Treatment of particular groups

8. Employment-conditional benefits

Working Tax Credit is an in-work means-tested benefit to top up the earnings of people on low-incomes, whether employed or self-employed, including those who do not have children. It also contains additional elements for those working with a disability or severe disability and for those workers who pay childcare costs to ‘registered’ or ‘approved’ childcare providers. (Child Tax Credit is the main way that families get money for their children. Child Tax Credit is payable in addition to Working Tax Credit and is payable regardless of whether the claimant is in work or not.)

8.1 Conditions for receipt

For Working Tax Credit, the employee must be working at least 16 hours per week (30 hours if aged 25 to 59 and does not have a child or a disability). However, from April 2012, couples with children will have to work for 24 hours a week between them with one partner working at least 16 hours. You do not need to be in work to receive the Child Tax Credit.

8.2 Calculation of benefit amount

8.2.1 Calculation of entitlement

The amount of Working Tax Credit payable depends on your household income. It is calculated by adding together the elements you are entitled to and then by reducing those elements by 41 pence for every GBP1 by which your gross household income exceeds the first income threshold of GBP 6,420 per year. Generally, gross income is defined as earned income plus all relevant benefits but before the deduction of income tax and social security contributions.

Where there is no entitlement to Working Tax Credit, Child Tax Credit is not reduced until household income exceeds GBP 15,910 per year (GBP 305.96 per week).

Note: Housing Benefit and Family Benefit are not considered for this income test.

No payment is made if the formula gives a value below 50 pence/week.

Family type	Rates of credits (in GBP per year)
WTC Elements	
Basic Element	1920
Second Adult Element	1970
Lone Parent Element	1970
30 Hour Element	790
Disability Element	2855
Severe Disability Element	1220
CTC Elements	
Family Element (the basic element)	545
Child Element	2720
Disabled Child Element	3015
Enhanced Disabled Child Element	1220

If Child Tax Credit is claimed without Working Tax Credit then Child Tax Credit is reduced by 41p for every GBP1 of take-home pay in excess of the first income threshold of 15,910 per year (GBP 305.96 per week).

In addition parents can receive 70 per cent of the actual childcare cost per week, up to a maximum childcare cost of GBP 175 per week if one child, GBP 300 per week if two or more children.

8.3 Tax treatment of benefit and interaction with other benefits

Not taxable.

8.4 Benefit duration

Paid as long as the conditions are fulfilled.

8.5 Treatment of particular group

8.5.1 Young persons

8.5.2 Older workers

8.5.3 Others if applicable

9. Lone-parent benefits

Lone parents not in work are eligible for Jobseekers Allowance (see section 3) or Income Support (see section 4). If working, they may be eligible for Working Tax Credit if their earnings are low (see section 8). Entitlement to these benefits is not affected by any alimony or “child support” payments received from the absent parent.

9.1 Conditions for receipt

See sections 3 and 4

9.2 Calculation of benefit amount

9.2.1 Calculation of gross benefit

9.2.1.1 *Irregular additional payments*

9.2.2 Income and earnings disregards

9.3 Tax treatment of benefit and interaction with other benefits

9.4 Benefit duration

9.5 Treatment of particular group

9.5.1 Young persons

9.5.2 Older workers

9.5.3 Others if applicable

10. Tax system

10.1 Income tax

Income Tax consists of a central government income tax. Social security contributions are also paid. Council Tax was abolished from April 2013.

10.1.1 Tax allowances and credits

- Basic Relief: a personal annual allowance of GBP 9 440 is granted to individuals under the age of 65 with incomes below £100,000. The personal allowance is gradually withdrawn for those incomes above £100,000 at a rate of £1 of allowance lost for every £2 of income above £100,000. The gradual withdrawal of the personal allowance for those with incomes above £100,000 took effect from April 2010. For personal allowances for those aged 65 and over please see section 10.4.2.
- Child Tax Credit: see Section 8 (Employment-conditional benefits).
- Working Tax Credit: see Section 8 (Employment-conditional benefits).
- Relief for social security contributions and other taxes: none.

10.1.2 *The definition of taxable income*

For the central government tax, it is simply the gross earnings minus the personal allowance and certain reliefs (such as loss relief and pension contributions paid gross).

10.1.3 *The tax schedule*

In 2013-14 all taxpayers are liable on taxable income other than savings and dividend income at the basic rate of 20 per cent on the first GBP 32 010, 40 per cent over the basic rate limit of GBP 32 010 and 45 per cent over the higher rate limit of GBP 150 000. (Taxable Income is defined as gross income for income tax purposes less allowances and reliefs available at the marginal rate.) Dividend income is charged at 10 per cent up to the basic rate limit of GBP 32 010, 32.5 per cent above GBP 32 010 and 37.5 per cent above GBP 150 000. Savings income is charged at 10 per cent up to the starting rate limit on the first GBP 2 790, at 20 per cent up to GBP 32 010, 40 per cent above GBP 32 010 and 45 per cent above GBP 150 000.

Taxable income (GBP)	Rate %
0 – 32 010	20
32 010 – 150 000	40
Over 150 000	45

There are currently no regional or local income taxes. Instead, council tax is paid by the occupiers of domestic properties to local authorities. In England the amount of council tax a household pays is dependent on the valuation band of the property and the rate set by individual local authorities. Valuation bands are based upon the property value as of 1 April 1991, and set into eight bands. Rates are set by local authorities based on Band D, the ratio between each band are fixed as follows:

Property band	Value (GBP, as of 1 April 1991)	Tax rate relative to Band D
Band A	0-40,000	6/9
Band B	40,001-52,000	7/9
Band C	52,001-68,000	8/9
Band D	68,001-88,000	1
Band E	88,001-1200,00	11/9
Band F	120,001-160,000	13/9
Band G	160,001-320,000	15/9
Band H	Over 320,000	2

10.2 Treatment of family income

The tax unit is the individual.

10.3 Social security contributions and payroll taxes

10.3.1 Contributions payable by employees and benefit recipients

National Insurance contributions are payable by employees earning more than GBP 149 in any week. These are 12 per cent of earnings between GBP 149 and GBP 797 and 2 per cent of earnings above GBP 797 for employees not contracted out of the state second pension scheme (additional state pension which supplements the basic retirement pension). For employees who are contracted out, there is a rebate of 1.4 percent on earnings between GBP 109 and GBP 770. Depending on eligibility, members of the National Insurance scheme qualify for pensions, sickness, industrial injury, unemployment benefits, etc. All employees earning under GBP 149 per week have no National Insurance contribution liability but a notional contribution will be deemed to have been paid in respect of earnings between GBP 109 and GBP 149 to protect benefit entitlement.

10.3.2 Contributions payable by employers

Employer's contributions are not payable for employees earning less than GBP 148 per week. The rate of employers' contributions for employees not contracted out of the additional (earnings related) scheme is 13.8 per cent of earnings above GBP 148 per week. For employees who are contracted out, there is a rebate of 3.4 per cent on earnings between GBP 109 and GBP 770 per week.

10.3.3 Payroll taxes

10.4 Treatment of particular group

10.4.1 Young persons

None.

10.4.2 Older workers

The amount of the personal allowance is higher for people aged 65 or over, depending on their income (for 2012-13, this is £10,500 for those aged 65-74 and £10,600 for those aged 75 and over). The age related allowances are tapered away for those with income

Reference date for all information is **July 1st 2013**

Country chapter for OECD series *Benefits and Wages* (www.oecd.org/els/social/workincentives)

above £24,000, known as the income limit, until they reach the level of the personal allowance for those aged under 65 (£8,105 for 2012-13).

10.4.3 *Others if applicable*

Reference date for all information is **July 1st 2013**

Country chapter for OECD series *Benefits and Wages* (www.oecd.org/els/social/workincentives)

11. Part-time work

11.1 *Special benefit rules for part-time work*

None

11.2 *Special tax and social security contribution rules for part-time work*

None

12. Policy developments

12.1 Policy changes introduced from 2nd July 2012 – 1 July 2013

In his Autumn Statement 2012, the Chancellor announced that, in light of the national economic situation, certain working-age benefits and tax credits would be up-rated by 1 percent rather than by the September 2012 CPI figure of 2.2 percent. Some rates are already frozen for 2013/14 so the 1 percent will apply for 2014/15 and 2015/16. This announcement was implemented in April 2013 and rates will increase again in April 2014 following the same principle.

12.2 Future policy changes announced since 1 July 2013

The number of waiting days will increase from 3 to 7. The timing of this change has yet to be confirmed but it is likely that it will apply to JSA *and* ESA.

ANNEX

DEFINITION OF SOCIAL SECURITY CONTRIBUTIONS AND PAYROLL TAXES.

The following text has been adapted from Annex A of the OECD *Revenue Statistics*.

Social security contributions to general government

Classified here are all compulsory payments that confer an entitlement to receive a (contingent) future social benefit. Such payments are usually earmarked to finance social benefits and are often paid to institutions of general government that provide such benefits. However, such earmarking is not part of the definition of social security contributions and is not required for a tax to be classified here. However, conferment of an entitlement is required for a tax to be classified under this heading. So, levies on income or payroll that are earmarked for social security funds but do not confer an entitlement to benefit are excluded from this heading and shown under personal income taxes or taxes on payroll and workforce. Taxes on other bases, such as goods and services, which are earmarked for social security benefits are not shown here [...] because they generally confer no entitlement to social security benefits.

Contributions for the following types of social security benefits would, *inter alia*, be included: unemployment insurance benefits and supplements, accident, injury and sickness benefits, old-age, disability and survivors' pensions, family allowances, reimbursements for medical and hospital expenses or provision of hospital or medical services. Contributions may be levied on both employees and employers.

Social security contributions paid to institutions outside general government

Contributions to social insurance schemes which are not institutions of general government and to other types of insurance schemes, provident funds, pension funds, friendly societies or other saving schemes [are included here if they are compulsory or quasicompulsory (e.g., by virtue of agreement with professional and union organisations)]. Provident funds are arrangements under which the contributions of each employee and of the corresponding employer on his/her behalf are kept in a separate account earning interest and withdrawable under specific circumstances. Pension funds are separately organised schemes negotiated between employees and employers and carry provisions for different contributions and benefits, sometimes more directly tied to salary levels and length of service than under social security schemes.

Payroll taxes

This heading covers taxes paid by employers or employees either as a proportion of payroll or as a fixed amount per person, and which do not confer entitlement to social benefits. Examples of taxes classified here are the United Kingdom national insurance surcharge (introduced in 1977), the Swedish payroll tax (1969-1979), and the Austrian Contribution to the Family Burden Equalisation Fund and Community Tax.